

ASCI Specific Guidelines

Qualification of Brand Extension: Product or Service

Title: Qualification of Brand Extension Product or Service

Jurisdiction: India

Category: Advertising

Source Citation: ASCI Guidelines for Qualification of Brand Extension Product or Service, linked to ASCI Code Chapter III, Clause 3.6(a), November 23, 2023

Plain English Summary:

These guidelines establish objective criteria for determining whether an unrestricted product or service is a **genuine brand extension** of a product whose advertising is prohibited by law, rather than a surrogate created to advertise the restricted category. The criteria include government registration, sales turnover or investment requirements, and limits on advertising expenditure. For an Ayurveda business, this becomes relevant if an Ayurvedic brand shares branding with a restricted-category brand or is used as a proposed brand extension.

The Exact Legal Text:

In order to evaluate the genuineness of an unrestricted product, or service brand extension of a product (e.g., liquor and tobacco) whose advertising is prohibited by law, The Advertising Standards Council of India (ASCI) has decided the following objective criteria to be used to qualify a correct brand extension product or service (see Chapter III Clause 3.6 (a) of ASCI code):

1. Brand extension product or service should be registered with appropriate Government authority e.g., GST/FDA/FSSAI/TM etc.

A) For a brand that is present in the market for >2 years, the following criteria would apply

I. Sales turnover of the product or service should exceed Rs. 5 crore per annum nationally, or Rs. 1 crore per annum per state, where distribution has been established.

II. A valid certificate from an independent organisation such as NielsenIQ or category-specific industry association, or an independent and reputed CA firm would be required to prove the concerned criteria.

B) Brand extensions which have been launched in the market, but have not yet completed two years must meet any one of the following criteria:

I. Achieve a net sales turnover of Rs. 20 lakhs per month from launch. Such sales should not be to a subsidiary or sister concern.

II. Demonstrate fixed asset investments which are exclusive to the advertised brand extension of not less than Rs. 10 crore. Such assets could be land, machines, factory, software, etc., in case the product is being manufactured/ developed by the advertiser. No advertising related expense should be part of such investments.

Keywords/Triggers:

brand extension, surrogate advertising, Ayurvedic brand extension, restricted category, FSSAI registration, trademark registration, brand extension turnover, ASCI Chapter III 3.6

ASCI Disclaimers Supporting, Limiting or Explaining Claims

Title: Disclaimers Supporting, Limiting or Explaining Advertising Claims

Jurisdiction: India

Category: Advertising

Source Citation: ASCI Guidelines for Disclaimers Made in Supporting, Limiting or Explaining Claims Made in Advertisements, July 13, 2023

Plain English Summary:

A disclaimer can clarify or qualify an advertising claim, but it **cannot contradict, modify, or rescue a misleading material claim**. This is extremely important for Ayurveda because a disclaimer cannot be used to make an otherwise unsupported efficacy or therapeutic claim appear acceptable.

The Exact Legal Text:

Guideline 1:

A Disclaimer can expand or clarify a claim, make qualifications, or resolve ambiguities, to explain the claim in further detail, but should not contradict/modify the material claim made nor contradict the main message conveyed by the advertiser or change the dictionary meaning of the words used in the claim as received or perceived by a consumer.

Guideline 2:

A disclaimer should not attempt to suppress material information with respect to the claim, the omission / absence of which is likely to make the advertisement deceptive or conceal its commercial intent.

Guideline 3:

A disclaimer should not attempt to correct a misleading claim made in an Advertisement.

Requirements for Disclaimers:

1. A disclaimer shall be in the same language as that of the claim/s of the Advertisement. In case of bilingual advertisements, the disclaimer should be in the dominant language of the advertisement.
2. The font type should be the same as the claim or sans serif for better readability, and NOT in italics.
3. The placement position of disclaimers of a claim on packaging should be in a prominent and visible space and should ideally be on the same panel of the packaging as the claim.
4. The direction of disclaimers should be along the direction of the majority of the copy, such that no rotation of head or medium would be needed to read it.
5. For comparative claims, the basis of comparison must be stated in a font size that is at least 25% of the font size of the claim which is being made and positioned in close proximity of the claim i.e. immediately next to or immediately below the claim.

The guidelines additionally prescribe requirements for **visibility, contrast, comprehension, video hold duration and audio speed**. For example, video disclaimers should generally remain on screen for at least **4 seconds per full-length line**, while spoken disclaimers should not exceed **6 syllables per second**.

Keywords/Triggers:

Ayurvedic disclaimer, health claim disclaimer, efficacy disclaimer, misleading disclaimer, disclaimer visibility, comparative claim disclaimer, packaging disclaimer, ASCI disclaimer guidelines

Influencer Advertising in Digital Media

Title: Disclosure and Responsibility in Influencer Advertising

Jurisdiction: India

Category: Advertising

Source Citation: ASCI Guidelines for Influencer Advertising in Digital Media, including Addendum II for Health and Financial Influencers

Plain English Summary:

Influencer advertising must clearly disclose the commercial relationship between the influencer and advertiser. This is **highly relevant to Ayurveda**, because Ayurvedic brands frequently use Instagram, YouTube and other digital influencers to promote health, wellness, supplements, skincare and other products. ASCI has also introduced additional requirements for influencers providing technical health or nutrition information.

The Exact Legal Text:

Guideline 1 Disclosure:

All advertisements published by social media influencers or their representatives, on such influencers' accounts must carry a disclosure label that clearly identifies it as an advertisement.

1.1(a):

Disclosure is required if there is any material connection between the advertiser and the influencer.

1.1(b):

Material connection isn't limited to monetary compensation. Disclosure is required if there is anything of value given to mention or talk about the Advertiser's product or service.

1.1(c):

Disclosures are required even if the evaluations are unbiased or fully originated by Influencer, so long as there is a material connection between Advertiser and Influencer.

1.2:

Disclosure must be upfront and prominent so that it is not missed by an average consumer.

The guideline further provides that disclosure should not be hidden in a profile, at the end of a post/video, behind more, or buried among hashtags or links.

Health & Nutrition Influencer Relevance:

ASCI has specifically updated its influencer framework for **health and nutrition influencers**. Where an influencer provides technical information or advice that consumers are likely to interpret as expert advice, the applicable qualification requirements become relevant. Generic promotion does not automatically trigger the same qualification requirement.

Keywords/Triggers:

Ayurvedic influencer advertising, health influencer, nutrition influencer, influencer disclosure, sponsored Ayurveda post, material connection, #ad, paid promotion